

development of Bessemer steel. Carnegie may have been a great speculator when he capitalized his companies and sold them for a fabulous sum to the Morgan syndicate, but in his early days he was a shrewd investor.

Henry Ford many years ago foresaw the revolution which would inevitably be brought about by the development of the automobile. He had imagination enough to understand that the most far-reaching change would be the adoption of the motor car by the millions rather than by the few. He therefore chose to serve the millions and has consequently become one of the most successful business men in the world.

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The point to be emphasized in these illustrations is that these men gave full thought to the big underlying facts which were developing before their eyes, but which the mass of mankind did not see at all.

Finally, to draw a distinction between intelligent investment and speculation, it should again be emphasized that successful investing involves far more attention to the meaning of fundamental trends and general economic conditions than does the ordinary speculation. The person who intentionally places his capital to work for income and genuine stability of principal should be more concerned with possible changes in general conditions and with the broad underlying currents of trade and finance than the man who frankly goes into a speculative proposition for the purpose of quickly increasing his capital. The speculator is almost invariably one who is looking for quick profits. Ordinarily he does not expect or intend to keep his capital in any given thing for any great period of time. Underlying influences affect his position, of course, but if his speculation is a wise one, its strength may be so great as to offset general adverse influences should such come along.